

Verdant Health Advisory LLC

www.verdanthhealthadvisory.com

February 3, 2023

Angela Mahoney

General Manager

Lopez, McBride and Evans

Dear Ms. Mahoney:

This letter confirms the terms on which Verdant Health Advisory LLC (the "Firm") will perform the Ambulatory Network Study for Lopez, McBride and Evans. Please read it in full. Once you have signed and returned it, it governs the work in place of anything said in our earlier conversations.

Background and Objectives

Lopez, McBride and Evans has added ambulatory capacity faster than the reporting built to manage it, and the questions you put to us in January were, fairly summarized, three: what each service line in the network actually contributes, where cases are being placed and why, and whether the arrangements now in force would survive an informed reader who is looking for problems rather than for reassurance. Those are answerable questions. They are not quick ones, and the answers will depend more on the condition of your data than on any method of ours.

We will not tell you at this stage which conclusion the study will reach, and you should be wary of an adviser who would.

Scope of Work

The study comprises four workstreams.

- Service line contribution. Restatement of ambulatory volume, revenue, and directly attributable cost onto a single definitional basis, so that a case counted at one facility means the same thing as a case counted at another.
- Site of service and case placement. Analysis of where procedures are performed across the network, the drivers of that placement, and the margin consequences of the current pattern.

- Capacity and utilization. Review of block allocation, room turnover, and scheduled against realized utilization at the ambulatory sites, measured against the capacity the network already holds.
- Arrangement review. A documentary review of the physician arrangements supporting the ambulatory platform, including a fair market value assessment of compensation terms where the documentation supports one.

The fourth workstream carries a qualification worth stating at the outset rather than in a footnote at the end. Fair market value is a term of art. Where the underlying documentation is incomplete, we will report the gap rather than close it with an assumption, and the assessment will say which arrangements we were able to opine on and which we were not.

Out of Scope

The study is not an audit or any other attestation service, and nothing we deliver may be characterized as one. We will not render legal advice; where a question is properly counsel's, we will say so and stop. We will not value the entity or any interest in it, and we will not model transactions you have not asked us to model.

Approach and Deliverables

We work from your source systems rather than from summary extracts wherever you can give us access, and we reconcile each figure back to a raw input before it appears in anything we issue. Where a figure cannot be reproduced from source, it does not go in. Where your data runs out and an inference begins, the deliverable marks the seam.

You will receive a data request in the first week of fieldwork, an interim read delivered in person at the midpoint, and a final report with supporting exhibits. Findings will lead the report. Recommendations will follow in a separate section, labeled as recommendations, so that no one reading the document a year from now can quote a suggestion of ours as though it were a finding.

Engagement Team

Daniel Alvarado, Principal, will lead the engagement and is responsible for the arrangement review and the fair market value assessment. He is also your point of contact if anything about the work concerns you. Joshua Dougherty, Analyst, will build and own the models underlying the contribution and utilization analyses. Barbara Freeman, Analyst, will lead the data request, the site of service work, and the drafting. I review every deliverable before it leaves this office, as I do on all of the Firm's engagements.

We will not add or substitute team members without notice to you.

Fees and Payment

Our fee for the work described above is \$54,500, inclusive of the deliverables listed and exclusive of travel, which we bill at cost and only with your prior approval. We invoice monthly against progress, and our invoices are payable within thirty days of receipt. If the scope changes, we will tell you before we do the work, in writing, with the fee effect stated. We do not bill for scope we did not agree with you in advance.

Term and Termination

Fieldwork begins February 13, 2023, and we have planned the study to run approximately seven months from that date, subject to the timeliness of the data we receive. Either of us may terminate this engagement on ten days' written notice. On termination you will owe fees for work performed through the termination date, and we will deliver our work product in whatever state it then stands, with its limitations described.

Confidentiality

We will treat non-public information you give us as confidential and use it only for this engagement. Access within the Firm is limited to the team named above. Patient-identifiable information is not required for this study and we ask that you not send it; if data containing it reaches us, we will notify you and handle it under a business associate agreement executed for that purpose. The obligation does not extend to information already public or to disclosure required by law, and we will give you notice of any such requirement where we may lawfully do so. You should assume we retain working papers for the period our professional obligations require.

Limitation of Liability

The Firm's aggregate liability arising out of this engagement, on any theory, is limited to the fees paid to us under it, except in the case of our fraud or willful misconduct, for which no limitation applies. Neither party is liable to the other for indirect, incidental, or consequential damages. Our deliverables are prepared for your internal use. They may be shared with your counsel and your auditors, who are not entitled to rely on them as their own work, and they may not otherwise be distributed or quoted without our written consent.

Governing Law

This engagement is governed by the laws of the state in which the Firm maintains its principal place of business, without regard to its conflict of laws provisions. We will attempt in good faith to resolve any dispute by negotiation between principals before either of us initiates proceedings.

If the foregoing reflects your understanding, please sign below and return one copy to my attention. We are glad to have been asked, and we are ready to begin.

Very truly yours,

Laura Brown

Managing Partner

Date: February 3, 2023

Angela Mahoney

General Manager, Lopez, McBride and Evans

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